Shuanghuan Driveline 002472.SZ 002472 CH

EQUITY: TECHNOLOGY

3Q26 revenue up 14%, expenses cap profit growth

Spin-off termination unlocks robotics synergy; embodied-AI reducers guided to CNY400–500mn in 2027E

3Q26: revenue up 14.4% y-y, but R&D and FX cap earnings growth

Shuanghuan reported 3Q26 results on 26 October and hosted an analyst meeting on 27 October. 3Q26 revenue was up 14.4% y-y to CNY2.56bn. By segment, we estimate: i) NEV (new energy vehicle) gears, at 51–52% of revenue, grew c.26% y-y and 18% q-q, driven by overseas customers and the co-axial gearbox ramp; ii) ICE (internal combustion engine) gears, at c.15% of revenue, fell c.14% y-y and were flat q-q; iii) intelligent actuators, at 9–10% of revenue, rose 31–32% y-y and were broadly flat q-q; iv) construction machinery, at 7–8% of revenue, grew c.15% y-y and eased slightly q-q on seasonality; and v) industrial-robot RV (rotary vector) and harmonic reducers grew over 20% y-y. 3Q26 net profit rose 3.8% y-y to CNY333mn and recurring net profit rose 6.5% y-y to CNY311mn, both lagging revenue growth. We attribute the gap to c.CNY16–18mn higher R&D expense y-y and a c.CNY7–8mn FX loss.

4Q26F and 2027F: co-axial, overseas and robotics drive the next leg

We expect 4Q26F NEV demand to remain strong and the ICE decline to remain around 10%+ y-y. For 2026F, we estimate construction machinery to grow over 20% y-y, commercial vehicles to be flat, industrial-robot reducer revenue to exceed CNY500mn, and intelligent actuators to reach CNY1.0–1.05bn. In the long-term, we expect co-axial gearbox shipments to exceed 80k sets monthly, with capacity targeted at 100k sets monthly by end-2026F and further additions each quarter in 2027F. For robotics, management guides embodied-AI reducer revenue of CNY150–200mn in 2026E and CNY400–500mn in 2027E, after discounting customer forecasts. In addition, we expect co-axial gearboxes are used in Tesla (TSLA US, Not rated) Roadster 2, at two units per vehicle. We view this as the validation of co-axial power density rather than a near-term volume driver.

Maintain Buy and raise TP to CNY55: robotics synergy and co-axial scale-up

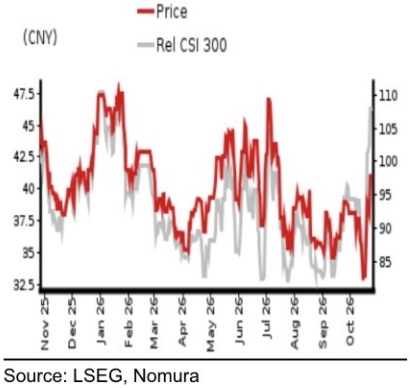
We maintain our Buy rating and raise our TP to CNY55 from CNY50, as: i) the termination of the Huandong spin-off removes an overhang and allows the group to integrate robotics sales and R&D; ii) embodied-AI reducers may scale in 2027F; and iii) co-axial capacity expansion. We trim 2026/27F EPS to CNY1.56/1.78 from CNY1.61/1.86 to reflect slower EPS growth in 3Q26. Our TP implies 31x 2027F EPS (previously at 27x 2027F EPS), at +0.4x SD of its historical average. The stock currently trades at 23x 2027F EPS.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	9,112	9,962	10,161	11,684	11,555	13,428	13,160
Reported net profit (mn)	1,262	1,368	1,328	1,581	1,509	1,879	1,740
Normalised net profit (mn)	1,262	1,368	1,328	1,581	1,509	1,879	1,740
FD normalised EPS	1.48	1.61	1.56	1.86	1.78	2.21	2.05
FD norm. EPS growth (%)	22.9	8.4	5.2	15.6	13.7	18.9	15.3
FD normalised P/E (x)	27.6	–	26.2	–	23.1	–	20.0
EV/EBITDA (x)	15.3	–	14.6	–	12.9	–	11.2
Price/book (x)	3.3	–	2.9	–	2.5	–	2.2
Dividend yield (%)	–	–	–	–	–	–	–
ROE (%)	12.8	12.2	11.9	12.3	11.8	12.5	11.7
Net debt/equity (%)	8.6	8.4	9.7	net cash	0.9	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Buy**
Target price Increased from CNY 50.00	**CNY 55.00**
Closing price 26 October 2026	**CNY 41.00**
Implied upside	**+34.1%**
Market Cap (USD mn)	5,226.7
ADT (USD mn)	127.0

Relative performance chart



Source: LSEG, Nomura

Research Analysts

Advanced Manufacturing

Frank Fan - NIHK
frank.fan@nomura.com
+852 2252 2195

Donnie Teng - NIHK
donnie.teng@nomura.com
+852 2252 1439

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Shuanghuan Driveline

Performance

(%)	1M	3M	12M		
Absolute (CNY)	5.3	16.0	-5.7	M cap (USDmn)	5,226.7
Absolute (USD)	6.0	17.8	0.7	Free float (%)	73.2
Rel to CSI 300	12.9	27.7	6.2	3-mth ADT (USDmn)	127.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	8,781	9,112	10,161	11,555	13,160
Cost of goods sold	-6,585	-6,621	-7,429	-8,491	-9,646
Gross profit	2,196	2,491	2,733	3,064	3,514
SG&A	-947	-1,030	-1,162	-1,283	-1,461
Employee share expense	0	0	0	0	0
Operating profit	1,249	1,461	1,571	1,781	2,053
EBITDA	1,984	2,339	2,461	2,709	2,999
Depreciation	-736	-878	-860	-900	-920
Amortisation	0	0	-30	-28	-26
EBIT	1,249	1,461	1,571	1,781	2,053
Net interest expense	-38	-47	-106	-80	-80
Associates & JCEs					
Other income	-7	91	119	80	80
Earnings before tax	1,203	1,505	1,583	1,781	2,053
Income tax	-147	-180	-192	-214	-246
Net profit after tax	1,057	1,325	1,392	1,567	1,807
Minority interests	-33	-64	-64	-58	-67
Other items					
Preferred dividends					
Normalised NPAT	1,024	1,262	1,328	1,509	1,740
Extraordinary items					
Reported NPAT	1,024	1,262	1,328	1,509	1,740
Dividends					
Transfer to reserves	1,024	1,262	1,328	1,509	1,740
Valuations and ratios					
Reported P/E (x)	33.9	27.6	26.2	23.1	20.0
Normalised P/E (x)	33.9	27.6	26.2	23.1	20.0
FD normalised P/E (x)	33.9	27.6	26.2	23.1	20.0
Dividend yield (%)	–	–	–	–	–
Price/cashflow (x)	20.7	14.6	17.7	14.4	12.8
Price/book (x)	3.8	3.3	2.9	2.5	2.2
EV/EBITDA (x)	18.1	15.3	14.6	12.9	11.2
EV/EBIT (x)	28.8	24.5	22.9	19.6	16.4
Gross margin (%)	25.0	27.3	26.9	26.5	26.7
EBITDA margin (%)	22.6	25.7	24.2	23.4	22.8
EBIT margin (%)	14.2	16.0	15.5	15.4	15.6
Net margin (%)	11.7	13.8	13.1	13.1	13.2
Effective tax rate (%)	12.2	11.9	12.1	12.0	12.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	11.7	12.8	11.9	11.8	11.7
ROA (pretax %)	9.4	9.5	9.1	9.4	10.0
Growth (%)					
Revenue	8.8	3.8	11.5	13.7	13.9
EBITDA	22.8	17.9	5.2	10.1	10.7
Normalised EPS	25.8	22.9	5.2	13.7	15.3
Normalised FDEPS	25.8	22.9	5.2	13.7	15.3

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,984	2,339	2,461	2,709	2,999
Change in working capital	-151	98	-727	-177	-155
Other operating cashflow	-152	-45	230	-113	-129
Cashflow from operations	1,681	2,391	1,964	2,418	2,715
Capital expenditure	-1,989	-2,069	-1,615	-1,600	-1,600
Free cashflow	-307	322	349	818	1,115
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-143	-5	-10	-10	
Inc in other LT liabilities	87	34	-10	-10	
Adjustments	27	-169	-449	-23	-16
CF after investing acts	-280	98	-71	775	1,079
Cash dividends	-160	-421	-236	-377	-435
Equity issue	45	202	4	0	0
Debt issue					
Convertible debt issue					
Others	981	1,205	162	631	758
CF from financial acts	866	985	-71	254	323
Net cashflow	586	1,083	-142	1,029	1,402
Beginning cash	822	1,407	2,490	2,304	3,321
Ending cash	1,408	2,491	2,348	3,333	4,724
Ending net debt	1,104	906	1,146	129	-1,217

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,407	2,490	2,304	3,321	4,667
Marketable securities					
Accounts receivable	2,563	2,759	3,268	3,649	4,045
Inventories	2,031	2,226	2,681	2,998	3,325
Other current assets	802	965	1,008	1,148	1,311
Total current assets	6,803	8,440	9,262	11,116	13,348
LT investments					
Fixed assets	8,301	9,402	10,303	11,003	11,683
Goodwill	61	60	60	60	60
Other intangible assets	499	516	492	464	438
Other LT assets	202	345	350	360	370
Total assets	15,867	18,763	20,467	23,003	25,899
Short-term debt	1,983	3,122	3,200	3,200	3,200
Accounts payable	2,626	3,039	3,681	4,301	4,987
Other current liabilities	952	1,191	830	869	914
Total current liabilities	5,561	7,353	7,711	8,370	9,101
Long-term debt	529	274	250	250	250
Convertible debt					
Other LT liabilities	538	626	660	650	640
Total liabilities	6,628	8,253	8,621	9,270	9,991
Minority interest					
Preferred stock					
Common stock	847	850	850	850	850
Retained earnings	3,477	4,319	5,595	7,481	9,656
Proposed dividends					
Other equity and reserves	4,914	5,341	5,402	5,402	5,402
Total shareholders' equity	9,238	10,510	11,846	13,733	15,908
Total equity & liabilities	15,867	18,763	20,467	23,003	25,899
Liquidity (x)					
Current ratio	1.22	1.15	1.20	1.33	1.47
Interest cover	32.9	31.1	14.8	22.3	25.7
Leverage					
Net debt/EBITDA (x)	0.56	0.39	0.47	0.05	net cash
Net debt/equity (%)	12.0	8.6	9.7	0.9	net cash
Per share					
Reported EPS (CNY)	1.21	1.48	1.56	1.78	2.05
Norm EPS (CNY)	1.21	1.48	1.56	1.78	2.05
FD norm EPS (CNY)	1.21	1.48	1.56	1.78	2.05
BVPS (CNY)	10.90	12.37	13.94	16.16	18.71
DPS (CNY)	0.00	0.00	0.00	0.00	0.00
Activity (days)					
Days receivable	106.5	106.6	108.3	109.2	107.0
Days inventory	112.6	117.3	120.6	122.1	120.0
Days payable	145.5	156.1	165.1	171.6	176.2
Cash cycle	73.5	67.8	63.7	59.7	50.7

Source: Company data, Nomura estimates

Company profile

Shuanghuan Driveline, a China-based company, principally engaged in the research, development, and production of gears, reducers, and related components for automobile, machinery, and robot segments.

Valuation Methodology

Our TP of CNY55 is based on 31x 2027F EPS of CNY1.86, at +0.4x SD of its 14-years historical average P/E at 26x, which is supported by its 2026F-28F EPS CAGR at 14%. The benchmark index is CSI300.

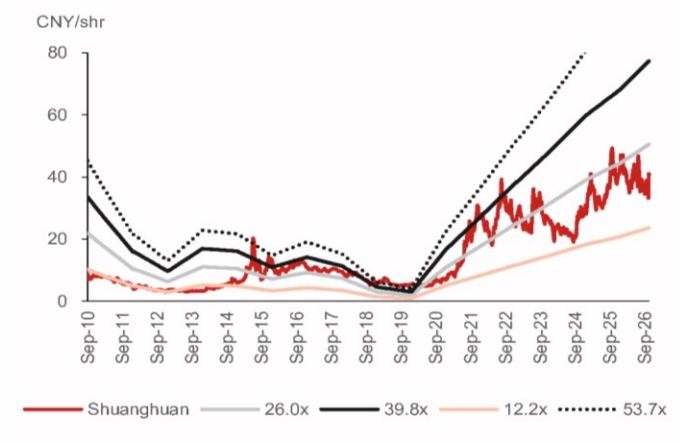
Risks that may impede the achievement of the target price

Downside risks include: 1) lower-than-expected gears demand in China; and 2) slower growth in reducer business.

ESG

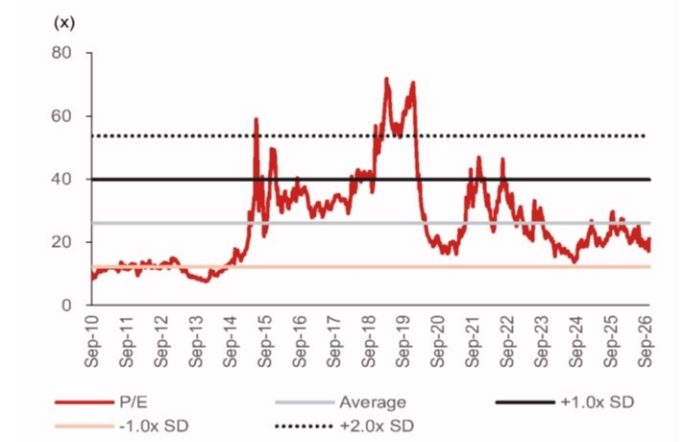
Shuanghuan fits the ESG theme, as 1) its products are used in electric vehicles, which help protect the environment; 2) it sets up an ESG framework to invest in employees development, resources recycling, and corporate sustainable development.

Fig. 1: Shuanghuan – forward P/E band



Source: Bloomberg Finance L.P., Nomura estimates

Fig. 2: Shuanghuan – forward P/E with -1/+2x SD



Source: Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Shuanghuan Driveline	002472 CH	CNY 41.00	26-Oct-2026	Buy	N/A	

Shuanghuan Driveline (002472 CH) **CNY 41.00 (26-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
23-Feb-26		50.00	42.92
27-Aug-25		46.00	36.51
21-Jan-25		42.00	35.65
15-Nov-24	Buy		29.01
15-Nov-24		39.00	29.01

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY55 is based on 31x 2027F EPS of CNY1.86, at +0.4x SD of its 14-years historical average P/E at 26x, which is supported by its 2026F-28F EPS CAGR at 14%. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected gears demand in China; and 2) slower growth in reducer business.

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